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Strategic Trading Analysis

Based on the detailed technical and fundamental report provided for **TCS.NS** (Tata Consultancy Services), here is my analysis as a Positional Equity Trader.

Step 1: Audit the Data

- **Data Present:**
  - **Price Structure:** Daily, Weekly, and 15-minute candlestick charts.
  - **Trend Indicators:** Exponential Moving Averages (20, 50, 200), Supertrend, MACD.
  - **Momentum/Volatility:** RSI, Bollinger Bands, ATR, Volatility Squeeze analysis.
  - **Fundamentals:** Revenue/EPS growth, Analyst Estimates, PE Valuation.
  - **Volume:** Volume Analysis with "Selling Exhaustion" signals.
  - **Relative Strength:** Comparison against `^CNXIT` (IT Sector Index).
- **Data Missing:**
  - **Granular Order Flow:** While volume is present, specific delivery percentages vs. intraday trading volume are not explicitly detailed.
  - **Option Chain Data:** Open Interest (OI) analysis for support/resistance confirmation is absent.
- **Confidence Level: High**. The report provides a comprehensive technical dashboard covering trend, momentum, and volume. The divergence between price action and analyst estimates provides a clear picture of the current setup.

Step 2: Analyze the Setup

- **Trend Analysis (Bearish):** The stock is in a **Strong Downtrend**. It is trading significantly below all major key moving averages (EMA 20, 50, 200). The "Death Cross" (lower EMAs below higher EMAs) is fully established. The Supertrend is active as a "Sell" signal.
- **Price Structure:** The stock has plummeted from highs of ~4400 to ~2686. There is no evidence of a "Higher Low" structure on the Daily or Weekly timeframe yet.
- **Momentum & Oscillator:**
  - **RSI:** Currently at **26.99 (Oversold)**. This often precedes a relief rally (mean reversion), but in a strong crash, stocks can remain oversold for extended periods.
  - **MACD:** Deeply negative with momentum weakening, though the histogram suggests the selling pressure *might* be slowing slightly.
- **Volume Signals:** A "Selling Exhaustion" signal was detected on 2026-02-19. This is the first constructive sign of a potential temporary bottom.
- **Fundamentals:** The short-term picture is ugly (-16.5% EPS QoQ), justifying the price drop. However, analyst consensus targets (avg 3584) suggest the stock is now deeply undervalued relative to long-term expectations.

Conclusion: This is a classic **"Falling Knife"** scenario. While the stock is mathematically oversold and undervalued, the technical momentum is violently downward. A positional trader seeks the middle of the move, not the absolute bottom. There is currently no confluence to support a safe entry.

Step 3: Formulate the Recommendation

Recommendation: NO. Do not enter this trade immediately.

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Reasoning: Entering now is gambling on a V-shaped reversal in the face of strong seller control. The risk of a "dead cat bounce" followed by lower lows is high. You must wait for the price to reclaim short-term structural levels to confirm a trend change.

Conditional Plan (Watchlist for Reversal):

I will consider a long position **only** if the stock demonstrates it has stopped falling and buyers are regaining control.

- **Condition to Buy:** The stock must register a **Daily Close above the 20-day EMA**. This validates that the immediate downward momentum has broken and a mean reversion to the 50-day EMA or higher is likely.
  - *Current 20 EMA is ~2885, but this will drop dynamically as time passes.*
- **Entry Price: ~2850 - 2880 range** (Assuming the 20 EMA lowers to meet the price or price rallies to breach it).
- **Stop Loss: 2600** (Hard Stop). This allows room for volatility around the current lows (2686) without getting wicked out by a final capitulation move.
- **Take Profit:**
  - **Target 1: 3000** (Psychological Level & approx 50 EMA).
  - **Target 2: 3150** (Convergence with 200 EMA).
  - *Upside Potential:* ~10-12% from a confirmed entry.

Alternative Aggressive Strategy (High Risk): If you are willing to take higher risk based solely on the "Oversold RSI" and "Selling Exhaustion":* **Entry:** 2686 (Current Market Price)* **Stop Loss:** 2580 (Strict 4% risk)* **Target:** 2885 (20 EMA Mean Reversion). This offers ~7% upside but fights the primary trend. **Not recommended for conservative positioning.**

Candlestick Classification Analysis

Based on the **Candlestick Classification Analysis** found on **Page 20 (Summary)** and **Page 21 (Chart)** of the report, here is my professional interpretation using the provided algorithmic logic.

1. Current Market State: "No Control" / Indecision

- **Latest Classification: No Control (0)**
- **Visual Evidence (Page 21):** The most recent candles on the far right of the chart are predominantly grey (No Control) or small red (Seller Control).
- **Algorithmic Interpretation:**
  - **Body Strength:** The body sizes are currently `< 0.5 ATR` or just above, indicating a lack of conviction from either bulls or bears at this specific price level (INR 2686).
  - **Wicks:** We are seeing wicks on both sides, signaling that intraday attempts to push higher are being sold into, and attempts to push lower are finding minor support, but not enough to reverse the trend.
  - **Volume:** The lack of a "Strong" label implies volume is likely hovering near or below the 0.8x average, meaning institutions are currently stepping back to assess value.

2. Trend Momentum: **Bearish** Bias

- **Recent Trend Score (10-day avg): -0.20**

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- **Interpretation:** While a score of -0.20 is not "Strong Seller Control" (which would be closer to -2.0), it indicates a persistent **negative drift**. The market is unable to string together consecutive "Buyer Control" days.
- **Distribution Analysis (Page 20):**
  - **Seller Control/Strong Control:** 69 days
  - **Buyer Control/Strong Control:** 57 days
  - **No Control:** 102 days
  - **Verdict:** The market spends the vast majority of its time in indecision (choppy), but when a side takes control, Sellers have a clear statistical edge (approx. 20% more dominant days than buyers).

3. Volume-Price Analysis (The "Institutional Footprint")

Looking at the chart on **Page 21**, distinct features define the current setup:

- **The Breakdown Candle (Late Jan/Early Feb):** There is a massive **Seller Strong Control (-2)** candle visible (large dark red body).
  - *Logic:* This candle likely had `Body > 1.5 ATR`, closed near the low, and had `Volume > 1.3x avg`. This represents a major institutional exit or "dump."
- **The Failed Bounce:** Following that drop, we see a few **Buyer Control (+1)** candles (light green). However, note that they lack the "Dark Green" (Buyer Strong Control) intensity. They were likely low-conviction bounces (short covering) rather than new value buying.
- **Current Consolidation:** The price has drifted back down to the lows of the breakdown, ending in the current string of grey "No Control" candles.

4. Prediction: **Bearish** Continuation Likely

As a price action trader, the setup suggests **further downside risk**.

- **Why?**
  1. **Failed Rejection:** The market tried to rally (green candles mid-Feb) and failed, rolling over back to the lows.
  2. **Indecision at Lows:** Usually, "No Control" candles at the bottom of a sharp move act as a "Bear Flag" or a pause for breath before the next leg down.
  3. **Absence of Demand:** To turn this bullish, the algorithm would need to trigger a **Buyer Strong Control (+2)** signal (High Volume + Large Green Body closing near highs) to prove that "smart money" has stepped in to defend this level. That signal is absent.

Forecast: Unless TCS prints a **Buyer Strong Control (+2)** candle immediately to reclaim the INR 2750-INR 2800 zone, the price is likely to break the current support and continue lower, as the -0.20 trend score indicates sellers are still leaning on the price.

Trader's Bias: SELL / SHORT on a break below the current "No Control" consolidation range.

News & Analyst Targets

Here is the latest news and analysis for **Tata Consultancy Services (TCS)** for the week ending **February 21, 2026**.

1. Latest News for TCS This Week

- **Strategic Partnership with OpenAI (Feb 19):** TCS has entered a multi-dimensional partnership with

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OpenAI to build hyperscale AI infrastructure. Through its **HyperVault** unit, TCS will develop AI-ready infrastructure in India with an initial capacity of **100 MW** (scalable to 1 GW) to support sovereign AI initiatives. The deal also includes rolling out ChatGPT Enterprise to Tata Group employees.

- **Cisco Center of Excellence (Feb 20):** TCS and Cisco launched a new **Center of Excellence (CoE)** in Hyderabad focused on **Autonomous Enterprise Operations**. The center aims to help clients move from rule-based automation to AI-driven, self-governing operations.
- **AMD Collaboration (Feb 18):** TCS expanded its partnership with AMD to deploy **"Helios" rack-scale AI architecture** in India. This infrastructure will support the country's national AI initiatives and provide high-performance computing capabilities for enterprise clients.
- **Stock Price Pressure:** Despite these positive announcements, TCS shares (along with the broader Indian IT sector) faced pressure this week, hitting a **new 52-week low** around INR 2,585 before recovering slightly. Investors remain cautious about AI-led disruption and global macro headwinds.

2. Brokerage Upgrades & Downgrades

- **JM Financial (Downgrade):** On February 18, domestic brokerage **JM Financial** downgraded TCS from **'Buy'** to **'Add'** and slashed its price target significantly. The firm cited concerns over "terminal growth" risks posed by Generative AI and a potential strategic pivot by IT firms that could hurt margins.
- **General Sentiment:** While long-term confidence remains (driven by the new AI partnerships), short-term sentiment has turned cautious due to fears that AI might deflate traditional services revenue faster than expected.

3. Other News Impacting TCS

- **AI Disruption Fears:** The entire Indian IT sector saw a market capitalization erosion of over INR 3 lakh crore this week. This sell-off was triggered partly by global concerns (impacting Infosys and Wipro ADRs) that AI agents could replace entry-level coding jobs, a core revenue stream for Indian IT.
- **Management Stability:** Speculation is high regarding a third term for Tata Sons Chairman **N. Chandrasekaran**, which has boosted sentiment in some group stocks (like Tata Investment Corp), indirectly signaling stability for TCS's top-level governance.
- **TCS CEO Commentary:** In response to job loss fears, TCS CEO **K. Krithivasan** stated this week that he does not foresee "significant shrinkage" in software engineering jobs, emphasizing that AI will evolve roles rather than eliminate them.

4. Latest Analyst & Brokerage Targets

Note: Targets from January reflect post-Q3 FY26 views, while February updates reflect the recent AI-risk re-rating.

Brokerage Firm	Rating	Target Price (INR)	Date of Update	Notes
JM Financial	Add (Downgrade)	2,960	Feb 18, 2026	Cut from INR 3,810; cites AI disruption risks.
Motilal Oswal	Buy	4,400	Jan 13, 2026	Maintained post-Q3; sees upside from AI deals.
Morgan Stanley	Overweight	3,540	Jan 12, 2026	Raised from INR 3,430; confident in FY27 recovery.
Emkay Global	Add	3,500	Jan 13, 2026	Expects CY26 to be better than CY25.
Citi	Sell	3,020	Jan 12, 2026	Cites muted international growth.

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Brokerage Firm	Rating	Target Price (INR)	Date of Update	Notes
Consensus	Buy/Hold	~3,675	Feb 20, 2026	Average of major analyst targets (Alpha Spread/Trendlyne).

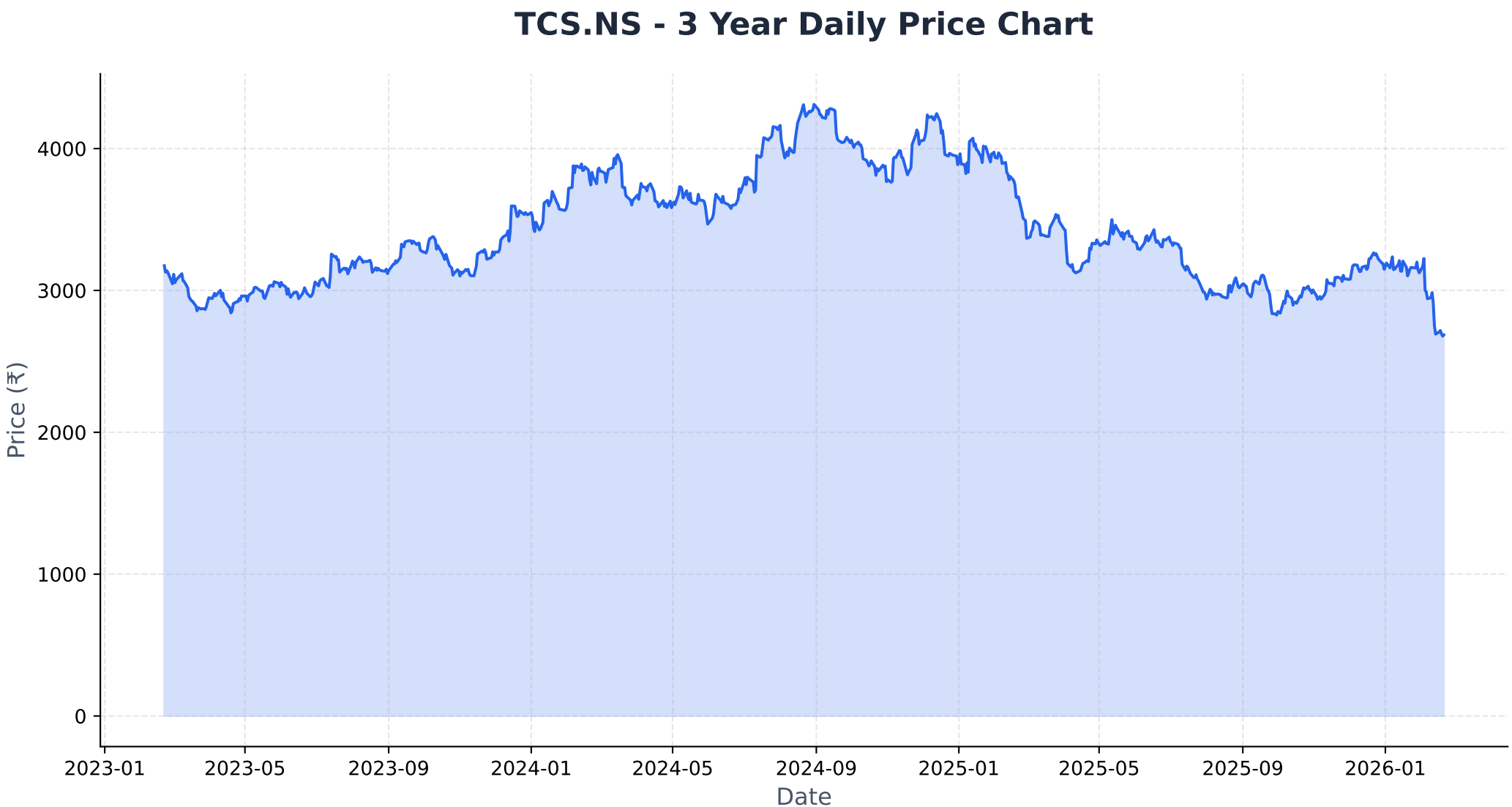
Summary for Investors: TCS is aggressively pivoting to becoming an AI-first infrastructure and solutions provider (deals with OpenAI, AMD, Cisco). However, the market is currently pricing in heavy "disruption risk," causing a disconnect between these strategic wins and the stock's short-term performance.

Stock Detailed Analysis Report

TCS.NS

Current Price: ₹2686.20

Generated: 2026-02-21 09:21


TCS.NS - 3 Year Daily Price Chart
Price (₹)
4000
3000
2000
1000
0
2023-01
2023-05
2023-09
2024-01
2024-05
2024-09
2025-01
2025-05
2025-09
2026-01
Date

Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	No	5.99%	10.01%
Net Income	Yes	No	5.76%	8.20%
ROE	Yes	No	1.00%	6.02%
EPS	Yes	No	6.60%	9.00%

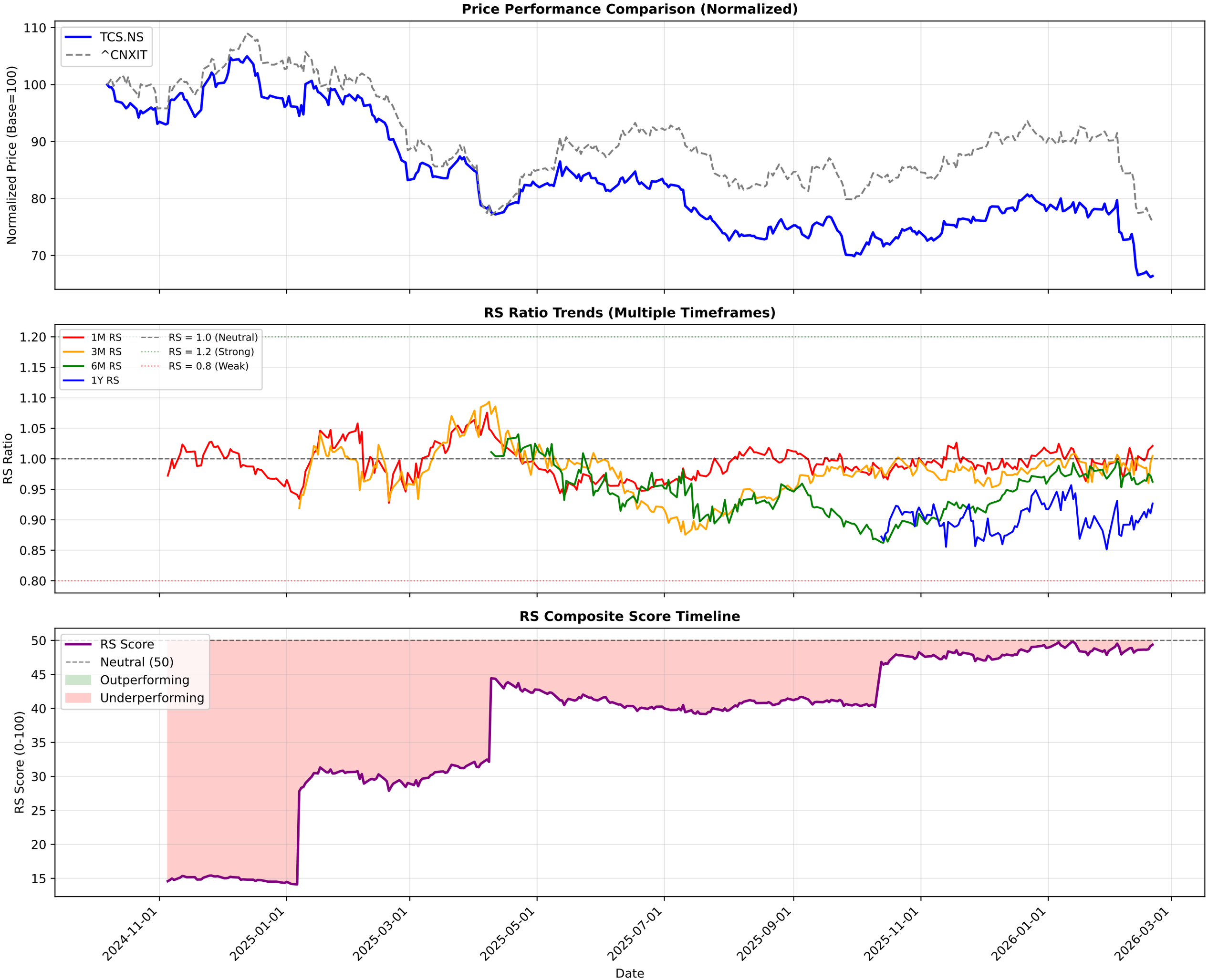
Short-term Fundamental Analysis (6 Quarters)

Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	5.75%	1.12%
Net Income	No	-16.48%	-2.35%
ROE	Yes	1.02%	5.48%
EPS	No	-16.50%	-4.55%

TCS.NS - Relative Strength Analysis

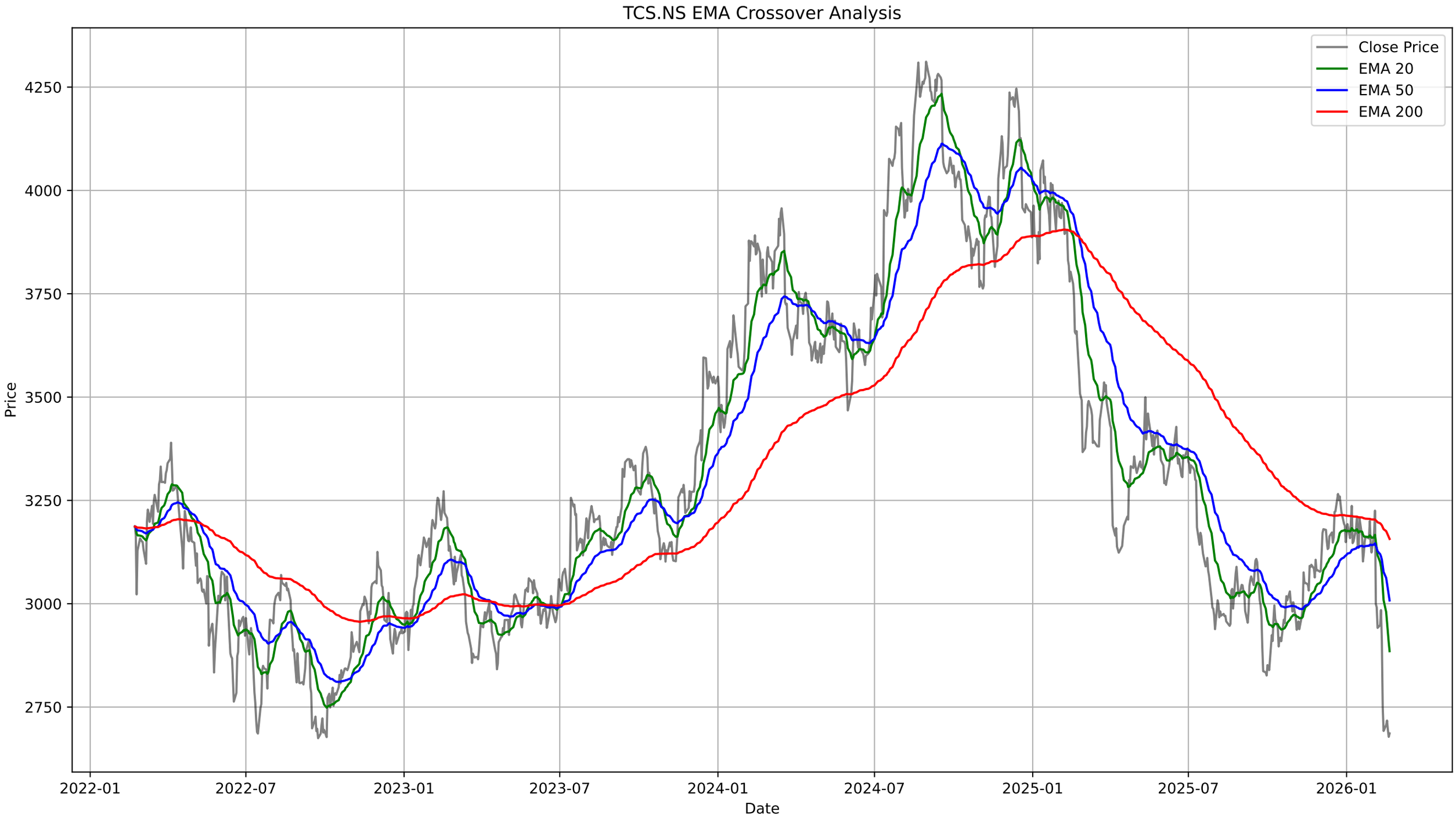
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXIT
Sector:	IT
Classification:	**Emerging Leader**
RS Score:	49.4/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.021 [Leader]**
3M RS:	**1.005 [Leader]**
6M RS:	**0.962 [Neutral]**
1Y RS:	**0.927 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✓ **Emerging RS:**	1M (1.021) > 3M (1.005)
✓ **Medium-term Lagging:**	6M=0.962, 1Y=0.927 (≤1.0)
✗ **Performance Improving:**	**Not improving**

Relative Strength Analysis: TCS.NS vs ^CNXIT
Classification: Emerging Leader



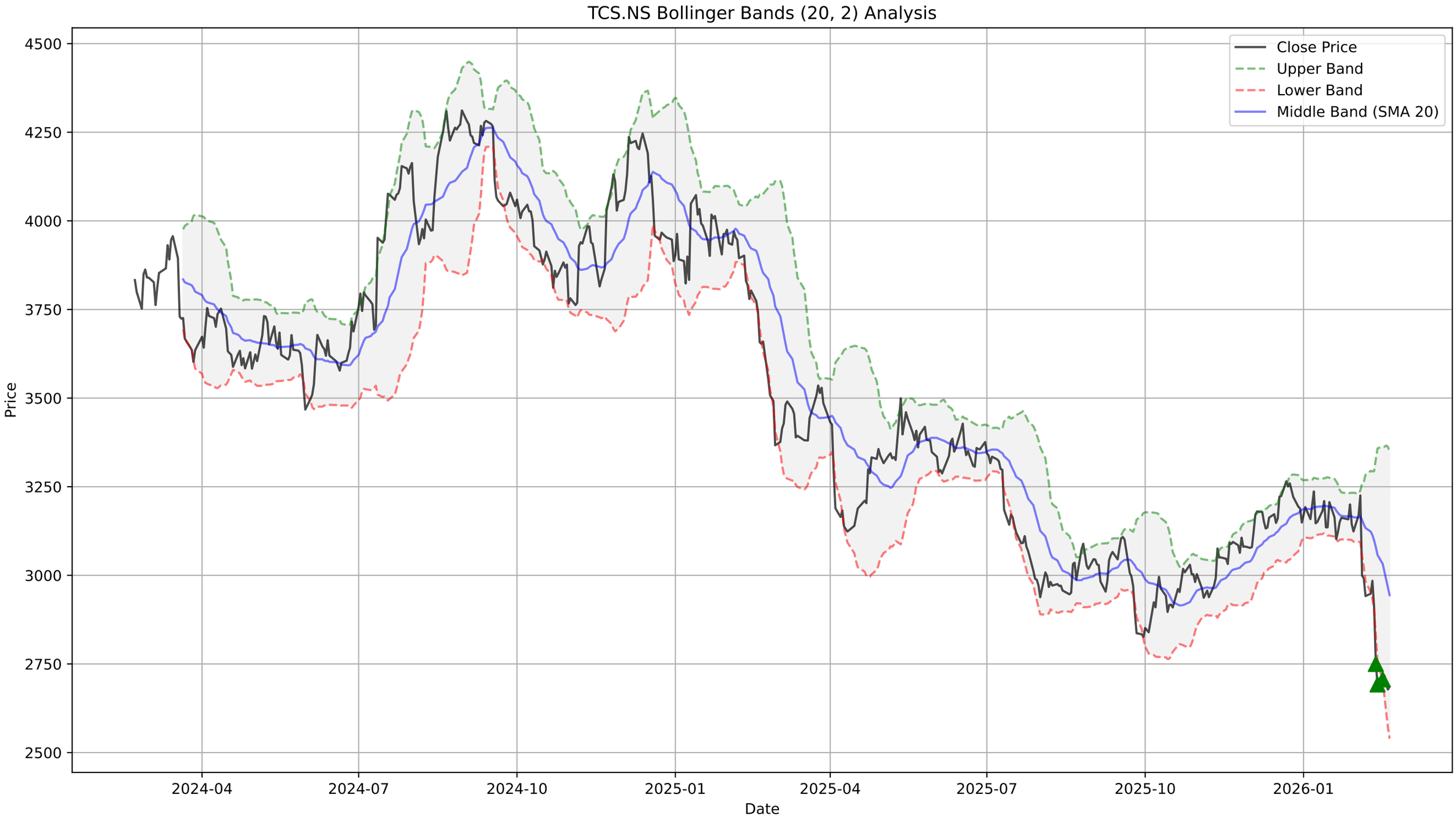
TCS.NS - EMA Crossover Summary

EMA 20:	2885.20
EMA 50:	3007.91
EMA 200:	3156.82
Trend Status:	**Strong Downtrend**


TCS.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Price
4250
4000
3750
3500
3250
3000
2750
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

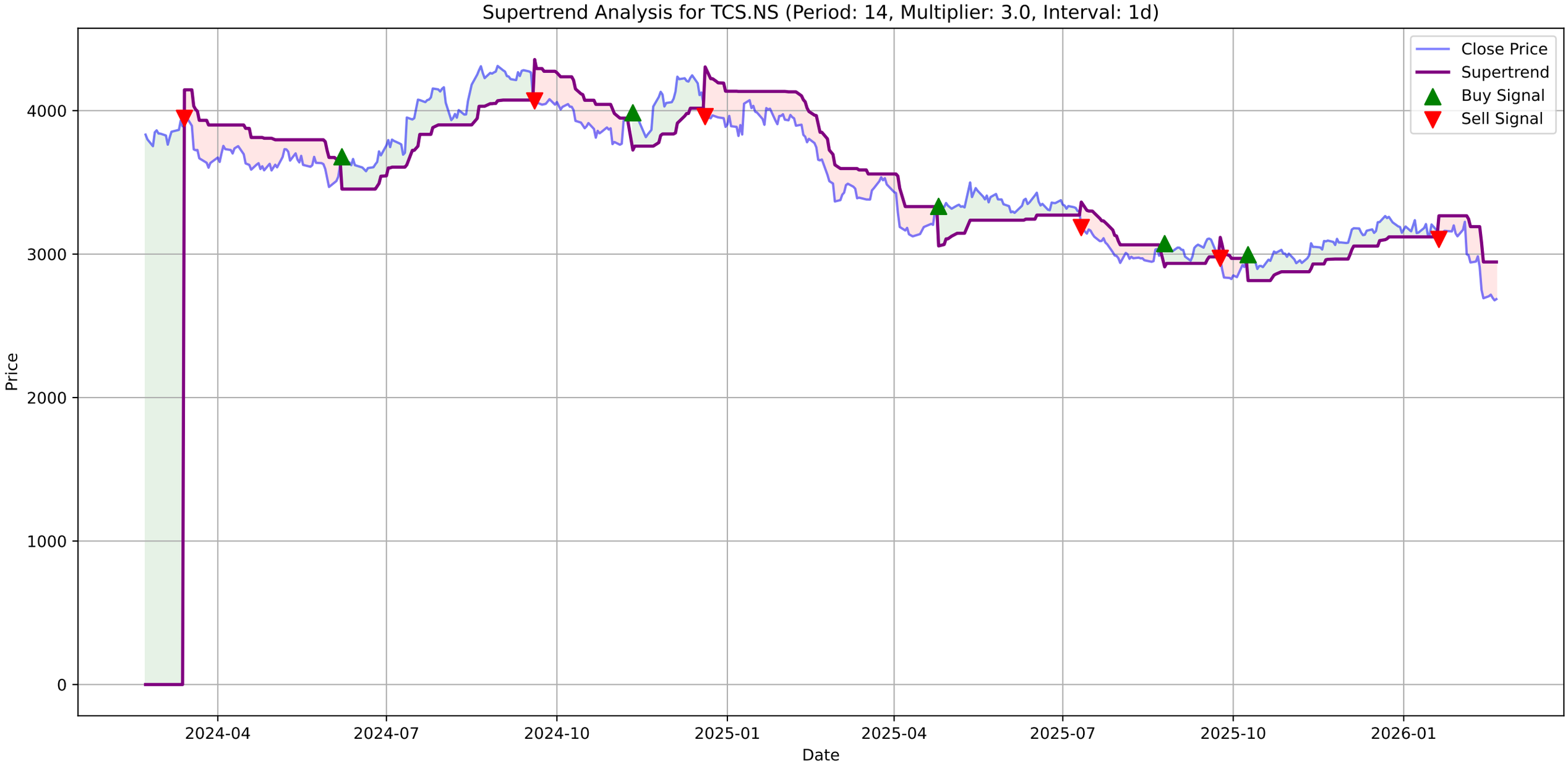
TCS.NS - Bollinger Bands Summary

Current Price:	2686.20
Upper Band:	3348.86
Middle Band (SMA 20):	2944.20
Lower Band:	2539.53
%B:	0.1812
Band Width:	0.2749
Status:	Lower Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-02-12 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-02-13 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-02-16 00:00:00+05:30**


TCS.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
Date
4500
4250
4000
3750
3500
3250
3000
2750
2500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

TCS.NS - Supertrend Summary

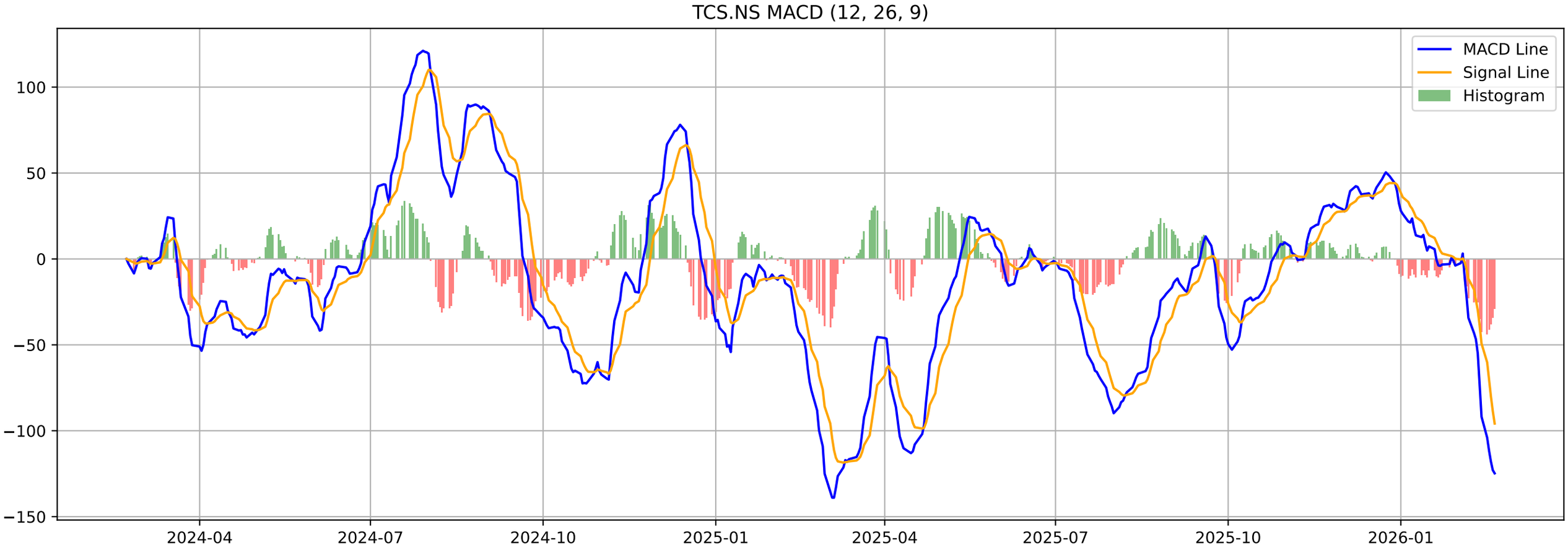
Status:	**DOWNTREND (Sell)**
Supertrend Value:	2945.16
Signal Identified On:	2026-01-20


Supertrend Analysis for TCS.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
4000
3000
2000
1000
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

TCS.NS - MACD Summary

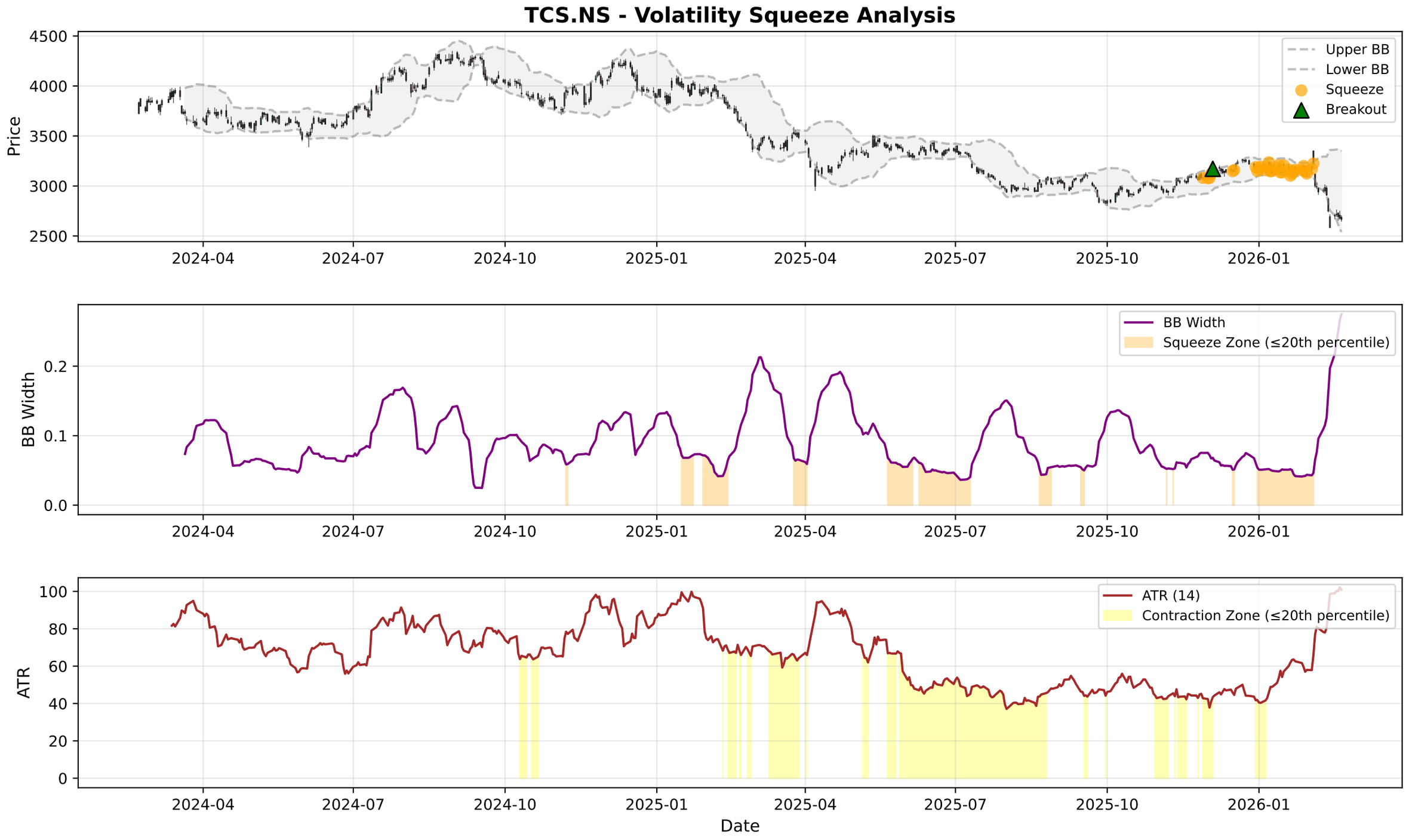
MACD Line:	-124.78
Signal Line:	-95.80
Histogram:	-28.98
Trend:	**Bearish**
Momentum:	**Weakening**
Signal:	None

TCS.NS Price
Close Price
4200
4000
3800
3600
3400
3200
3000
2800
2600
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


TCS.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
100
50
0
−50
−100
−150
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

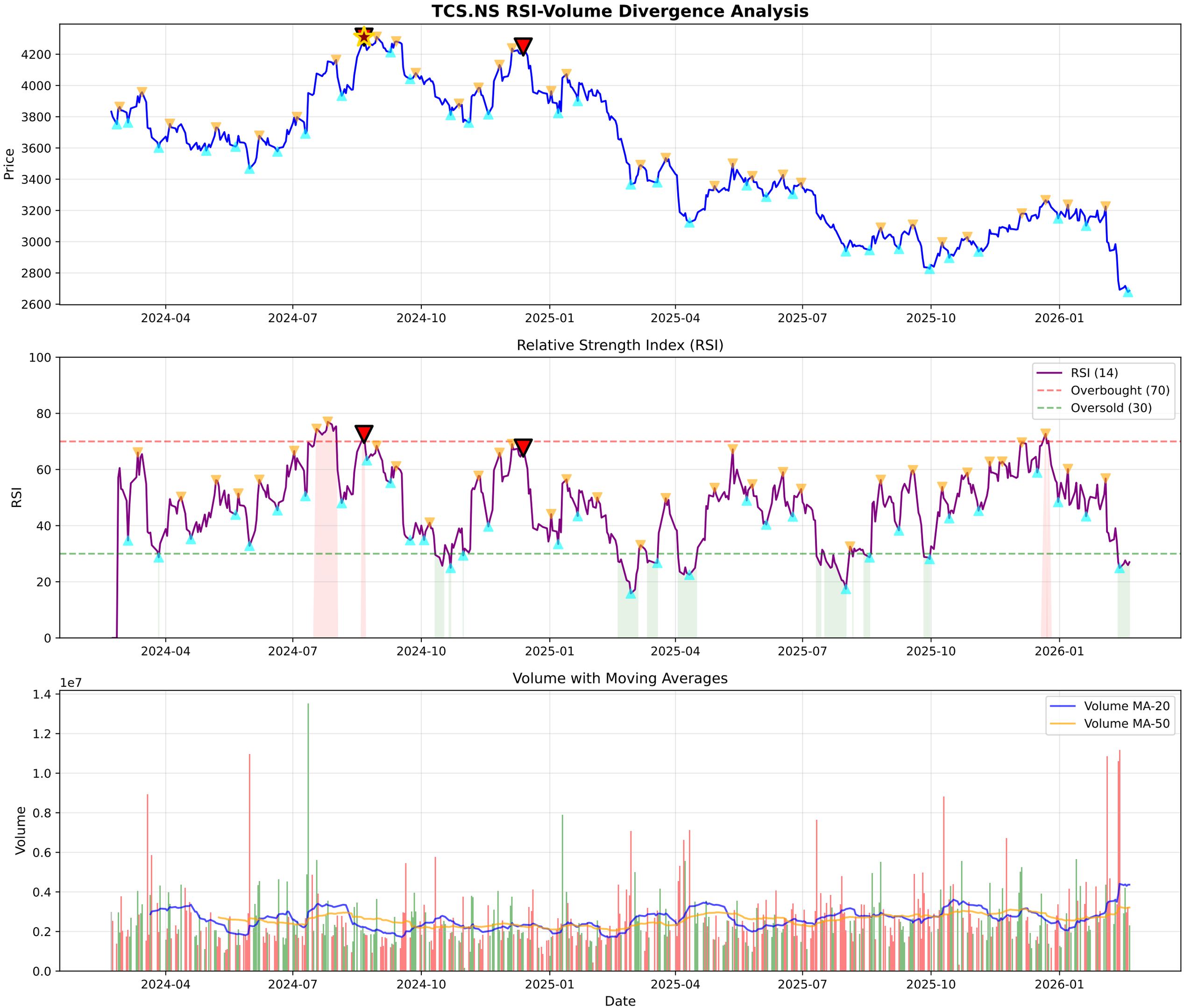
TCS.NS - Volatility Squeeze Summary

BB Width:	0.2749
ATR:	100.8857
Total Signals:	32
Signal 1:	BB Squeeze at 2026-01-28 00:00:00+05:30 (Price: 3200.10)
Signal 2:	BB Squeeze at 2026-01-29 00:00:00+05:30 (Price: 3144.40)
Signal 3:	BB Squeeze at 2026-01-30 00:00:00+05:30 (Price: 3123.90)
Signal 4:	BB Squeeze at 2026-02-02 00:00:00+05:30 (Price: 3169.60)
Signal 5:	BB Squeeze at 2026-02-03 00:00:00+05:30 (Price: 3225.30)


TCS.NS - Volatility Squeeze Analysis
Price
Upper BB
Lower BB
Squeeze
Breakout
BB Width
BB Width
Squeeze Zone (≤20th percentile)
ATR
ATR (14)
Contraction Zone (≤20th percentile)
Date
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

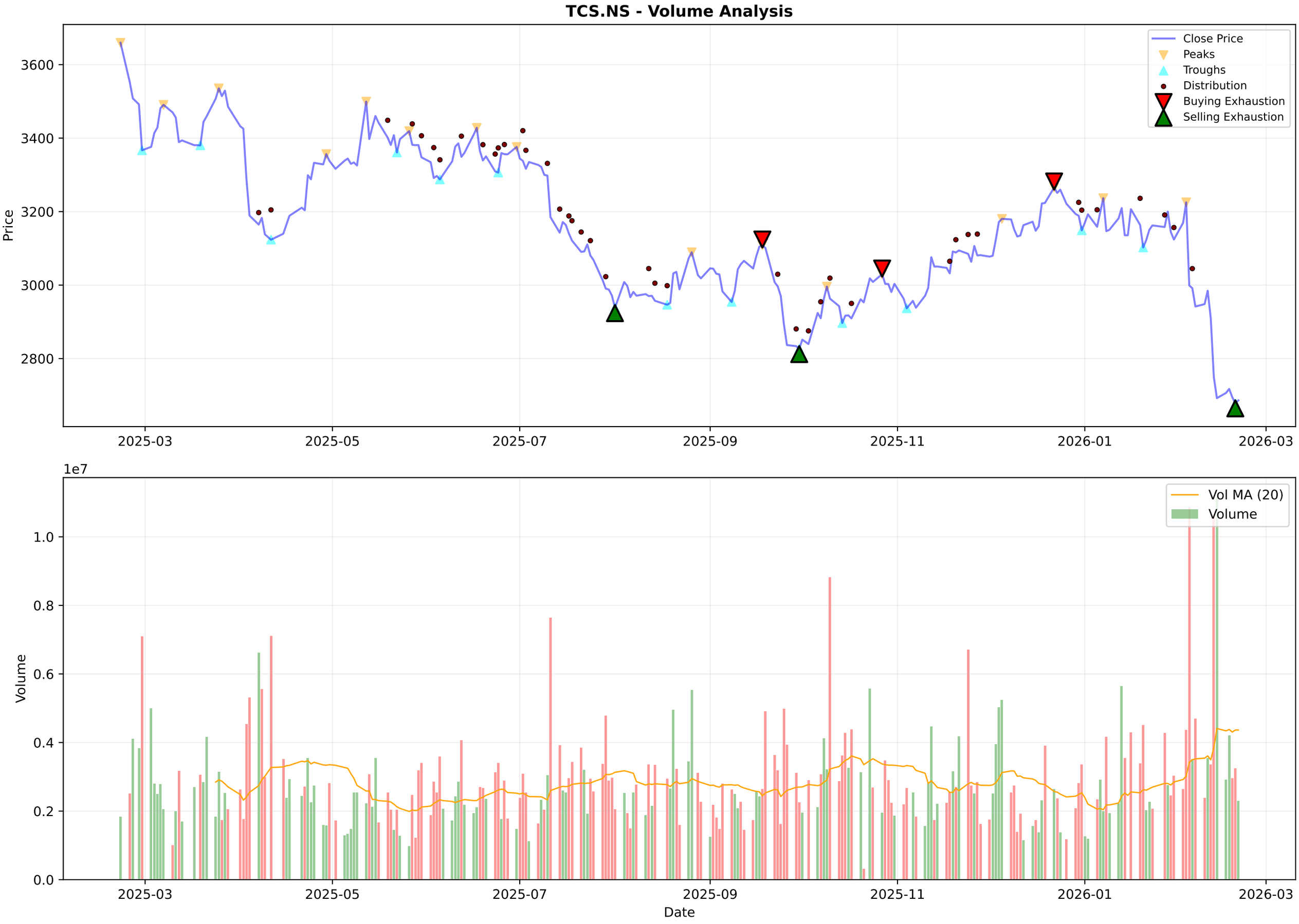
TCS.NS - RSI-Volume Summary

Current RSI:	26.99
Current Volume:	2293482
Volume MA 20:	4366351
Bullish Divergences:	0
Bearish Divergences:	2
Bearish Div 1:	Date: 2024-08-21 00:00:00+05:30, Price: 4309.46
Bearish Div 2:	Date: 2024-12-13 00:00:00+05:30, Price: 4246.32


TCS.NS RSI-Volume Divergence Analysis
Price
4200
4000
3800
3600
3400
3200
3000
2800
2600
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
Volume
1e7
1.4
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Volume MA-20
Volume MA-50
Date

TCS.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**49 Signals Detected**
:	
2026-01-19 [-]:	Distribution Day
2026-01-27 [-]:	Distribution Day
2026-01-30 [-]:	Distribution Day
2026-02-05 [-]:	Distribution Day
2026-02-19 [+]:	**Selling Exhaustion (Bullish Div)**


TCS.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Buying Exhaustion
Selling Exhaustion
Price
3600
3400
3200
3000
2800
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e7
Vol MA (20)
Volume
Volume
1.0
0.8
0.6
0.4
0.2
0.0
Date

TCS.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	-0.20
:	
Distribution:	
No Control:	102
Seller Control:	66
Buyer Control:	54
Buyer Strong Control:	3
Seller Strong Control:	3

TCS.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
3400
3200
3000
2800
2600
1e7
Volume
1.0
0.8
0.6
0.4
0.2
0.0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

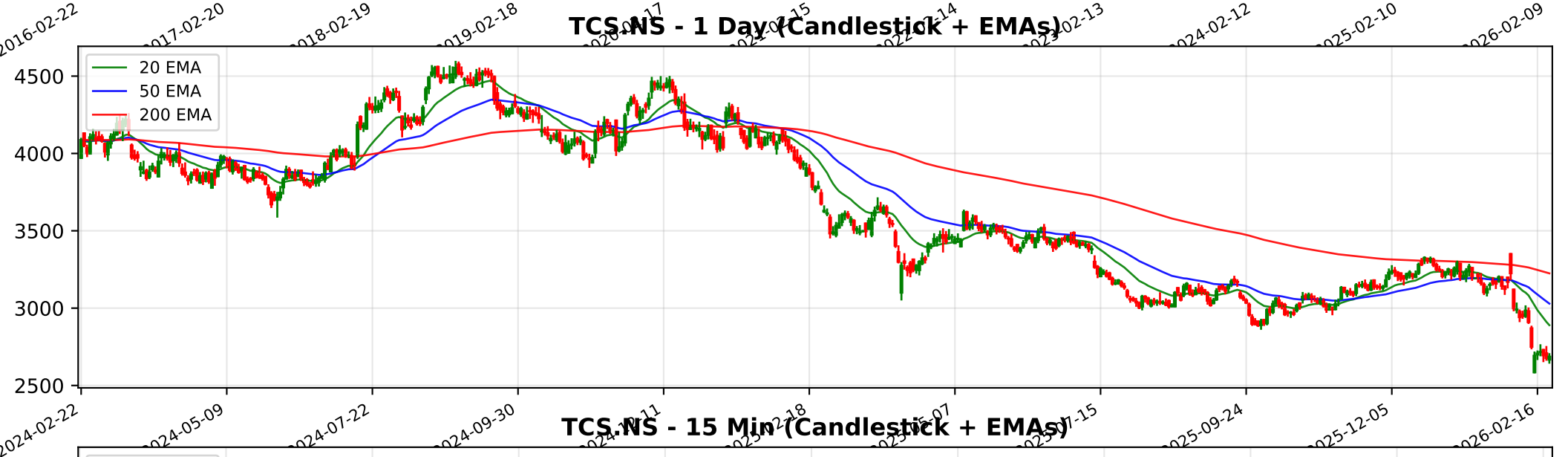
Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	3126.81	2686.2	2026-02-02
1 Day	**DOWNTREND (Sell)**	2945.16	2686.2	2026-01-19
15 Min	**UPTREND (Buy)**	2670.3	2685.5	2026-02-20

Multi-Timeframe MACD Analysis

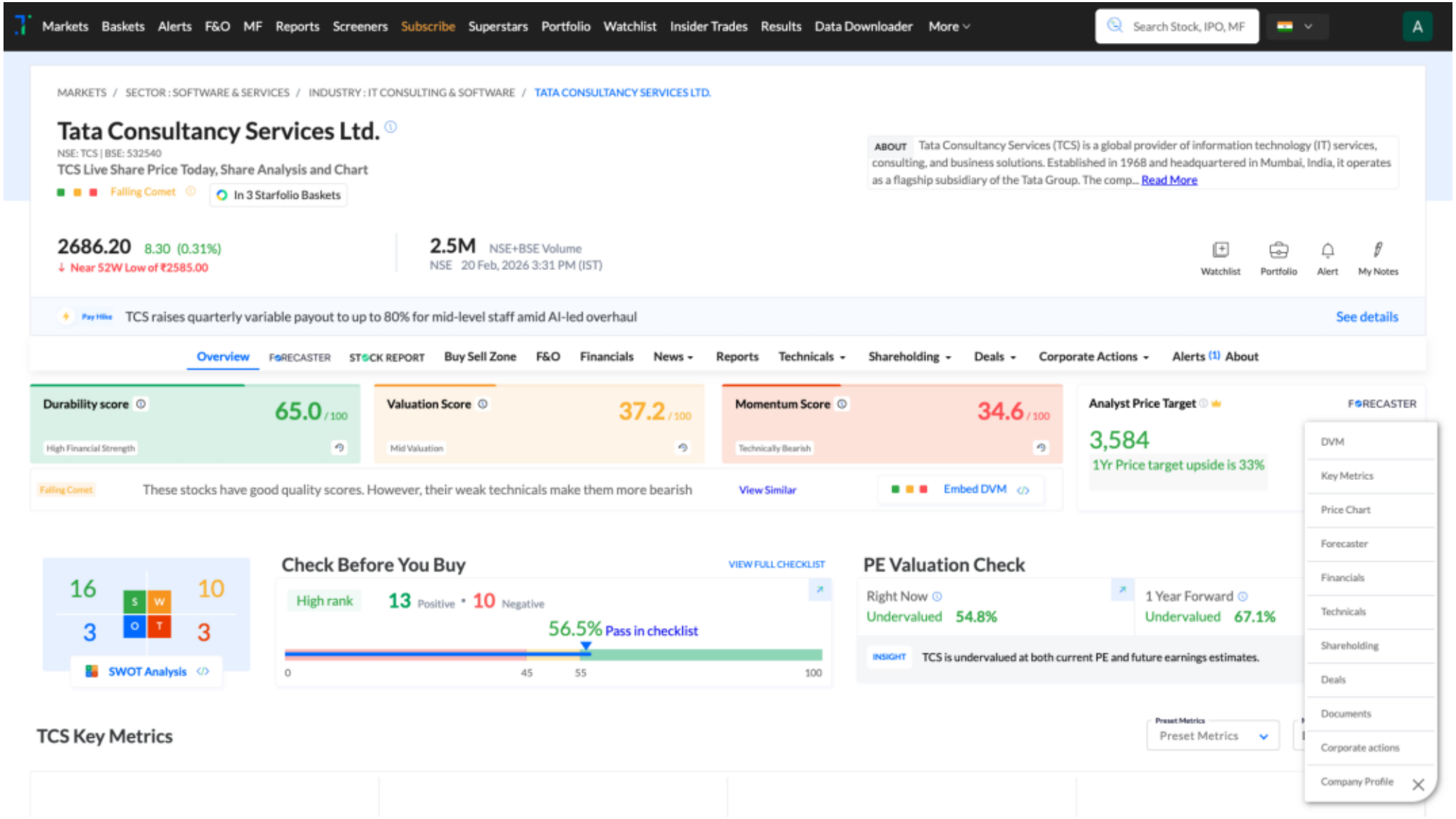
Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Strengthening	No Signal
1 Day	**Bearish**	Weakening	No Signal
15 Min	**Bullish**	Weakening	No Signal

TCS.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
4500
4000
3500
3000
2500
2000
1500
1000
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


TCS.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
4500
4000
3500
3000
2500
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16

TCS.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
3200
3000
2800
2600
12-24
12-30
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

Trendlyne Snapshot - TCS_main



Trendlyne Snapshot - TCS_forecaster

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MARKETS / SECTOR : SOFTWARE & SERVICES / INDUSTRY : IT CONSULTING & SOFTWARE / TATA CONSULTANCY SERVICES LTD.

Tata Consultancy Services Ltd.

NSE: TCS | BSE: 532540

Falling Comet

In 3 Starfolio Baskets

Download real time STOCK REPORT

2686.20 8.30 (0.31%)

↓ Near 52W Low of ₹2585.00

2.5M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Pay Hike TCS raises quarterly variable payout to up to 80% for mid-level staff amid AI-led overhaul

See details

Overview FORECASTER STOCK REPORT Buy Sell Zone F&O Financials News Reports Technicals Shareholding Deals Corporate Actions Alerts (1) About

TCS - TCS - stock price prediction, stock forecast, target price, analyst ratings from 46 analysts

TCS has a share price target of Rs 3584, revenue growth forecast of 3.6%, and profit growth estimate of 4.3% for FY26, based on top 46 analyst calls.

TCS FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

CURRENT PRICE 2686.2

AVG. ESTIMATE 3583.7

LOW ESTIMATE 1775

HIGH ESTIMATE 4810

CURRENT PRICE AVG. ESTIMATE

in Rs

EPS FORECAST

QUARTER ANNUAL

175 150 125 100

Mar '23 Mar '24 Mar '25 Mar '26 Mar '27

ACTUAL EPS AVG. ESTIMATE

in Rs

CONSENSUS RECOMMENDATION

46 ANALYST Recommendations

BUY

	STRONG BUY	BUY	HOLD	SELL	STRONG SELL
Sep '25	19	11	9	3	2
Oct '25	21	11	8	2	2
Nov '25	21	11	8	2	3
Dec '25	21	11	8	2	3
Jan '26	20	12	10	1	3
Feb '26	19	13	10	1	3